

According to R.N. Elliott's rules, the bull market in the gold/silver ratio ended four years ago. Figure 17-8 shows that the gold/silver ratio traced out five waves up within a parallel channel from its low in 1980. For a Fibonacci 13 years, the change in the multiple followed Elliott's guidelines perfectly. (Wave 4 of (5), near the top, shows up only as a brief hesitation in this month-end data, but daily ratios show a decline of five percentage points.) At its peak, *The Elliott Wave Theorist* forecasted that silver was finally poised to begin acting stronger than gold, which it has done fairly well in the past two years.

It must be conceded that the gold/silver ratio's return to a less extreme relative valuation need not be accompanied by a decline in the dollar price of gold, as a stronger rise in silver would suffice. However, if the deflationary scenario outlined in Chapters 14 and 18 comes to pass, then silver's current phase of advance is at risk of retracement. If a decline in silver's value following a peak in coming months were accompanied by a continuation of the retreat in the gold/silver ratio, gold would have little trouble reaching the downside targets discussed below.

OUTLOOK

The forecast for the stock market generated in Chapter 5 was based primarily upon the rules and guidelines of wave form. The analysis in this section is a good example of how Fibonacci relationships typically found in wave patterns may be applied (later success or failure notwithstanding) to the forecasting puzzle.

Targeting The Final Low In Gold

The Elliott Wave Theorist's estimate for the ultimate low in gold has been firmly in place since 1982, when the parallel channel for the long term bull market (see Figure 17-1) was penetrated on the downside. Analysis from a few previous issues is excerpted below, demonstrating the long term consistency of this outlook.

\$103.05 is the level of the bottom of the previous fourth wave of lesser degree if a five-wave sequence occurred from 1967 to 1980. **\$111.63** is the point at which wave C from \$720 will be 1.618 times as long as wave A from \$850 to \$474. These two points are generated by two of the most powerful calculations under Elliott, and the fact that they are very close together reinforces their validity.

— February 8, 1982